IN THE HIGH COURT OF DELHI AT NEW DELHI
(COMMERCIAL DIVISION)
O.M.P. (I) (COMM.) NO. 342 OF 2023

IN THE MATTER OF:
Nexora Infra Private Limited ...Petitioner
VERSUS
Apex Global Energy Corporation ...Respondent

CORAM:
HON'BLE MR. JUSTICE PRATEEK JALAN

INTERIM ORDER
PRATEEK JALAN, J.

1. The present petition has been preferred under Section 9 of the Arbitration and Conciliation Act, 1996 [hereinafter 'the Act'], seeking urgent ad-interim interim protection to restrain the respondent from invoking Performance Bank Guarantees totaling INR 42,00,00,000/-.

4. A petition under Section 9 of the Act is maintainable prior to the constitution of the Arbitral Tribunal only where urgent protective measures are demonstrated to prevent irreparable loss. The petitioner claims that invocation of bank guarantees during active reconciliation negotiations violates commercial good faith.

7. Mr. Rajiv Nayar, learned Senior Counsel appearing for the petitioner, submitted that the delay in executing the work was caused entirely by the respondent's delay in providing Right of User (RoU) permissions. It is submitted that the petitioner has already initiated steps under Section 11 for the appointment of an independent arbitrator.

9. While exercising jurisdiction under Section 9, the Court must be guided by the settled principles of Order XXXIX Rules 1 and 2 of the CPC. Settled jurisprudence holds that unconditional bank guarantees constitute independent obligations, immune from judicial interference save in cases of established fraud or special equities. The threshold of egregious fraud vitiating the underlying transaction has not been satisfied on the present record.

12. However, with respect to the retention fund of INR 14 Crores withheld by the respondent, the balance of convenience dictates preservation of the asset so that the arbitral award is not rendered unenforceable.

15. Consequently, the prayer to restrain invocation of the bank guarantees is declined. However, the respondent is directed to maintain the retention amount of INR 14 Crores in an interest-bearing escrow account. This interim direction shall remain in force until the arbitral tribunal is formally constituted and considers Section 17 applications.

16. It is clarified that this order is purely an interim procedural protection and expresses no final opinion on the merits of contractual claims.

PRATEEK JALAN, J.
NOVEMBER 14, 2023
NEW DELHI